

Answers (generative AI used to polish and formalise the language of my own notes)

1.

Five Guys' current promotional strategy is distinctive because it does not depend on traditional advertising such as television, radio, print, billboards, or coupons. Instead, the company relies on word of mouth, publicity, and social media, and uses credible, engaging tools to sustain interest and drive action.

The most influential part of Five Guys' strategy is word of mouth. The company's logic is straightforward: if the food and service are strong enough, customers will talk about the brand for free. Five Guys has built this strategy around product quality and operational discipline. For instance, it uses fresh, never frozen beef, daily baked buns, and very specific cooking procedures for its fries. It also runs two third-party audits per week in every store, including mystery shoppers and safety checks, and rewards high-performing crews with bonuses. In 2018 alone, the company expected to pay about \$20 million in worker bonuses. This matters because positive word of mouth depends on customers having an experience worth sharing.

A second pillar is publicity. Publicity has helped Five Guys build credibility without paying for traditional media exposure. The company has received many positive reviews and awards, including Zagat rankings, Market Force results, and Harris Poll recognition. It also benefited from high-profile attention, such as Barack Obama visiting a Five Guys in Washington and celebrity involvement from Phil Mickelson and Shaquille O'Neal. In class, public relations was presented as valuable because it can be more credible than paid advertising. That applies well here. When customers hear that Five Guys won quality awards or see that public figures voluntarily associate with the brand, the message feels more trustworthy than a paid ad.

The third element is social media, which Five Guys uses mainly as an amplifier of customer relationships. By 2018, the company had a strong presence on Facebook, Twitter, Instagram, Pinterest, Snapchat, and Google+. It used these platforms to answer customer questions, monitor sentiment, support store openings, and run campaigns based on user-generated content. Good examples are #fiveguysfanatic, #SayCheeseSweeps, #ShareYourShake, and #HighFive, which encouraged customers to post photos and interact with the brand. Five Guys also empowered local franchisees to manage local communication through store-specific Twitter accounts, which is smart because local managers are closer to their customers and community events. The company further strengthened this strategy by using monitoring software and geo-targeting, especially when entering the UK market.

Overall, I would rate the strategy **Very Good**. It has clearly supported strong growth and a distinctive brand image, and it fits Five Guys' positioning as a quality-focused fast-casual chain. I would not say **excellent** just because the strategy depends heavily on organic buzz, and the brand has also received some negative publicity around health concerns, including criticism from Men's Health, the Center for Science in the Public Interest, and Time. That is harder to control and may become less reliable as the company expands into more international markets where brand awareness is lower and local consumer habits differ.

2.

Traditional media could offer Five Guys two main benefits. First, it could expand reach and accelerate awareness, especially in newer international markets where brand recognition is still limited. For example, when Five Guys entered cities such as Paris and London, TV, radio, or print could have complemented word of mouth by introducing the brand more quickly to consumers unfamiliar with it. Second, traditional media would give the company greater control over its message. It could consistently emphasise attributes such as fresh ingredients,

customisation, open kitchens, and product quality rather than relying on publicity or customer conversations, which are harder to manage.

However, traditional media also present two important drawbacks. It is costly. Five Guys has historically prioritised spending on food quality and employee bonuses, so diverting too many resources into mass media could undermine the customer experience that generates repeat business and positive word of mouth. Moreover, it may also conflict with the brand's identity. Five Guys has built its reputation on authenticity and organic buzz rather than highly managed advertising, so heavy use of traditional media could make the brand seem less genuine and weaken the understated image that has contributed to its appeal.

So, traditional media could strengthen awareness and message consistency, but it should be used selectively given its cost and potential tension with Five Guys' brand identity.

3.

If Five Guys had a \$100 million annual promotional budget, I would keep the company relatively close to its current strategy rather than shifting heavily into traditional advertising.

My proposed allocation would be \$30 million to social media and community management, \$25 million to publicity and public relations, \$20 million to digital advertising, \$15 million to customer experience and word of mouth programs, and \$10 million to selective traditional advertising.

Social media is already one of Five Guys' strongest promotional tools, so it deserves the largest share of the budget. The company has used platforms such as Facebook, Twitter, and Instagram not only to engage with customers but also to monitor conversations, respond to concerns, and amplify user-generated content through campaigns. This budget should therefore support content creation, social listening, faster response teams, local franchise support, and multilingual communication in international markets. Because Five Guys already succeeds by encouraging customers to participate in the brand story, expanding this area would reinforce a proven strength.

Second, I would allocate **\$25 million to publicity and public relations**. Publicity has been one of Five Guys' most credible and effective promotional tools. The company has benefited from positive reviews, awards, media recognition, and high-profile visits. Public relations matters here because it creates visibility without making the brand seem overly commercial. This budget should support media outreach, launch events, tastings for food journalists, influencer seeding, and PR support in major international markets. Since Five Guys' image depends heavily on trust and authenticity, publicity deserves a substantial share of the budget.

Third, I would allocate **\$20 million to digital advertising**. Although Five Guys should stay close to its existing strategy, it should still invest meaningfully in scalable paid tools. Digital advertising offers flexibility, targeting, and measurement. This is especially useful in new international markets, where the company may need additional support to build awareness. In this sense, digital advertising should complement the current strategy, not replace it.

Fourth, I would allocate **\$15 million to customer experience and word of mouth programs**. For Five Guys, this is not separate from promotion because the company's brand has always depended on customers having an experience worth talking about. If the company wants word of mouth to remain effective, it must continue investing in the operational systems that produce it. Therefore, part of the promotional budget should support staff training, quality audits, crew incentives, and store-level improvements.

Finally, I would allocate **\$10 million to selective traditional advertising**. Traditional media should not be eliminated entirely, but it should remain the smallest category. It may be useful for

building awareness in specific markets, especially around store openings, through tools such as outdoor advertising, local radio, or selective print placements. However, Five Guys has succeeded through authenticity and customer advocacy, so overinvesting in TV, radio, or print would be both costly and somewhat inconsistent with the brand's identity.

4.

To keep its current promotional strategy effective as it expands internationally, Five Guys should focus on **protecting consistency in the core customer experience across markets**. This is the most important safeguard because the company's entire strategy depends on customers having an experience worth talking about. If international locations vary too much in quality, service, or cleanliness, word of mouth will weaken and social media may spread negative experiences just as quickly as positive ones. The case already shows that Five Guys relies on strict preparation methods, audits, and employee bonuses to maintain standards. It should continue using those systems internationally while allowing some flexibility in local communication, such as language or social media style. In other words, Five Guys should keep the product and service consistent globally, while adapting the message locally. That would help the brand grow without losing the strengths.